

accountants let them recognize the present value of this annuity over the lifetime of the package. They had found a money machine!

But starting in late 2007, cheap financing disappeared, and banks, let alone proprietary trading desks, could not rely on LIBOR flat financing or infinite balance sheets. This funding pressure alone would likely have caused cash bonds to underperform CDS, but the forced unwinding of large positions by highly levered institutions caused even more pressure and pushed the relationship even more negative. A number of institutions, unwilling to take the financing risk or the mark-to-market volatility on what had been a low-value, positive carry trade, simply closed out of their positions. Particularly painful were the basis packages where the underlying cash security lost its investment grade rating and holders had to “de-book” the profits at a particularly poor moment.

The Great Financial Crisis dramatically underscored the risk that banks and other financial participants take on when they pile substantial leverage on top of a small mispricing, one good idea coupled with an incredibly bad one. It also highlighted the importance of establishing sustainable financing arrangements, and not being overly reliant on any financing that is not clearly contractually agreed at the outset of the trade. While the extreme negative basis spreads of 2008 and their immediate aftermath have not been revisited, the “zero-ish bound” has been relegated to the trash can, and negative basis packages with hundreds of basis points or even double-digit points continue to be seen in the wild.

## **THE FOLLY OF TECHNICAL ANALYSIS**

I was particularly pleased to reread Graham and Dodd’s thoughts in Chapter 52 about technical analysis. Their wisdom about the futility of using past price movements to predict future market movements is a searing rebuttal to all backward-looking techniques that rely on the assumption that the future is easily gleaned by scrutinizing past price